



UNDER ARMOUR

Introduction

Under Armour, Inc. is an inventor, marketer and distributor of branded athletic performance apparel, footwear and accessories for men, women and youth. It was founded in 1996 by former college football player Kevin Plan, who is nowadays the main global reference shareholder owning around 15% of the company's outstanding shares. The firm was originated by the player's desire to have more comfortable athletic shirt that effectively absorbs sweat, leading him to develop a unique, moisture-wicking fabric.

The primary business operates on a worldwide scope, divided in four segments: North America, comprising the United States and Canada, Europe, the Middle East and Africa (EMEA), Asia-Pacific, and Latin America.

The accounting standards

In august 2005, Under Armour Inc. became a public company after filing for its IPO. As a public company in the U.S., it is required by law to prepare its financial documents in accordance with U.S. GAAP (Generally Accepted Accounting Principles). There are a few US GAAP principles which is relevant to mention in relation with Under Armour Inc; firstly, the ASC 606 principle which manages the Revenue Recognition of a company. The sportswear firm, as already explained, has a multi-channel with different return patterns (timing, discount and rebate structure) and the rules imposed by the standards directly affect net sales.

Moreover, for Under Armour it is also relevant the inventory accounting, regulated by SC 330, since the firm holds large volumes of seasonal products and it had already struggled in the past with seasonal products losing value quickly, heavy discounting and in margin erosion. Under US GAAP, inventory is measured at first-in first-out method of cost determination.

Another principle to mention is the ASC 842 which regulates the leases; Under Armour, in addition to owned retail stores, operates many leased outlet locations, significant offices and distribution centers. The US GAAP conditions recognize right-of-use assets and lease liabilities inflating the balance sheet and affecting leverage metrics.

Business Model

Under Armour is a performance-oriented retail company, which designs athletic apparel, footwear and accessories for serious training. The brand resonates strongly with athletes and active consumers (often part of sport teams and clubs), especially those who value innovation and a competitive edge. This audience spans a wide age range but it is heavily concentrated in the 18-34 demographic and historically had a stronger male following but now appeals both genders.

As it is mentioned on the website, the first value for Under Armour is "Love Athletes" and they say: "We believe in waking up every morning to make athletes legendary". The company presents itself to the market as a credible athlete-oriented brand which focuses on product innovation with cutting-edge technologies, possible thanks to heavy investments in R&D. This brand position is crucial for Under Armour to command a premium pricing and to partner with major distributors. The firm stands slightly below luxury brands selling to a target market of upper/middle-class consumers who often seek value through durability, technology and comfort.

Serving its customers, Under Armour's has a multi-channel distribution; the revenue comes from an extensive global wholesale distribution with network partners' retail organizations (for example Foot Locker or Dick's Sporting Goods) and a direct-to-consumer distribution which includes Under Armour's retail stores, outlet shops and E-commerce.

However, the company put high attention on the Brand Licensing, which generates an important percentage of revenue; for example, Under Armour partnership with Balenciaga, Oberalp Group.

*every figure mentioned is migl USD (10-K)

Another key feature is the great amount of sponsorship deals, in fact the company is known for its collaborations with professional athletes and teams (like Dwayne Johnson, and Stephen Curry) which amplify the brand recognition as an athlete targeted company.

Under Armour rely on both tangible and intangible assets; other than the brand that stands for an authentic athlete positioning, the intellectual property are important (proprietary Performance Technologies and lastly human capital with especially designers, product developer and athlete partnership managers).

Under Armour is a fully outsourced manufacturing company, that meaning that it doesn't have its factory and it relies on global third-party suppliers (they are published in line with transparency standards).

Analysis of financial statements

To gain more insight into Under Armour's financial situation, the first figure worth bringing to light is the loss (-201,267) of 2025. Although there was already a trend of decrease, 2025 is the first year where **net profit** went negative (except for 2020 but it can be assumed that that values came from the Covid period) hence it is crucial to understand where the loss comes from, what part of the business brought to this negative result and what it says about the company conditions now.

Firstly, it can be seen that the **revenue** had been declining for tenth consecutive quarter going from 5.903.165 in 2023 to 5.164.310 in 2025. Yet, the main costs didn't grow but instead they went down; both **COGS and operating expenses** have been lower than the previous years, but apparently this wasn't enough for the revenue to cover up all of them. (COGS: 2020= -2.555.162; 2024= -2.930.536; 2023= -3.123.614, Operating expenses 2025: -2.271.198; 2024= -2.393.402; 2023= -2.376.345). This declining tendency reflects the **EBIT** which went below zero in 2025 after being positive for years (-185,216), meanwhile **EBITDA**, although declining, is still positive which illustrates that probably core operations are still generating cash from the company.

To get more information, it is helpful to look at the most important ratios for Under Armour.

Considering the company's industry (athletic apparel/retail) and the firm's focus on brand elevation and product innovation, the first ratios to look at are the liquidity and activity ones.

A strong liquidity base is necessary for retail companies to cope inventory cycles, seasonability and large operating expenses, especially for short-term debt (e.g. suppliers). The **current ratio** have maintained good values during the last years (around 2,2) but it may indicate that Under Armour is not using its current assets efficiently as it is a little too high. On the other hand, the **quick ratio** offers a more realistic picture of liquidity since it doesn't include inventory. In 2025, this ratio dropped (going from 1.64 in 2024 to 1.25); it can be said that this decline is consistent with net loss and negative operating cash flow (-28,263). This indicates that, despite having a comfortable current ratio, the liquid position is weak, mainly because profitability is deteriorated and cash generated became insufficient.

One of the most important ratio for this company is the **inventory turnover** which shows how many times the firm sells and replaces its stock in a period. In the past, Under Armour have had some problems dealing with inventory and still nowadays the value of inventory turnover remains too low for the retail industry. The range expected of its peers is from 4 to 6 and the shortfall reflects a buildup of finished goods inventory often caused by slower demand aggressive product launches or supply chain mismatching so inventory sits longer increasing storage and obsolescence risk.

However, the **asset turnover of 2025** is fairly stable (1,62), especially compared to the historical values, meaning that Under Armour is still able to generate sales from its assets. (yet dislike decline in 2024 hints at rising hazard base e.g. property inventory). Furthermore, the **DSO ratio** indicates that the number of the days it takes a consumer to pay the company for sales on credit is 48 in 2025. It is slightly increasing through the years but it still in the average range for retail industry.

From solvency ratios, it possible to see the management measure taken in the last years to improve the results as the **debt-to-equity ratio** has been slowly decreasing being 68,85% in 2025. This figure is a little over the average for low-leverage norm but still manageable. The **interest-coverage** (20,55) rate shows that Under Armour still has an ample cushion, despite the negative number of EBIT.

Focusing on UAA's margins, UA reported gross profit of 630,6 million, down 9,4% over years. This weakening result impacted the return earned the company on its assets (ROA) which went negative in 2025 (-4,76), together with the return on common equity (ROE) that also went below the zero level (-10,83). Finally, for 2025, the profit margin is negative with a -3,9% percentage. To sum up, the Du point analysis can at last clarify what are the components that are causing a negative overall result for the ROE. Considering the first formula:

$$= \text{Profit Margin} \times \text{Asset Turnover} \times \text{Leverage}$$

As it has been said the profit margin is negative (-3,9) while the asset turnover level (1,14) and the leverage one (2,24) are in the norm.

$$= \text{Tax burden} \times \text{Interest burden} \times \text{EBIT margin} \times \text{Asset Turnover} \times \text{Leverage}$$

The very disturbing and dangerous results are the EBIT margin which is extremely low, the minus zero value of interest burned and Extraordinary burden which shows that interest expense wipes out 89% of EBIT, making EBT very close to zero. If the net income is considerably lower than EBT it can be concluded that there are large extraordinary nary losses, write-downs, impairments or non-operating expenses.

Due to declining revenue and negative earnings, the market sentiment has been negative with little faith in future results. In the summer months of 2025, shares of the company have lost 29.8%, compared with the industry's 5.5% decline and, overall in 2025, the stock value has dropped by 50%. Furthermore, The **Price-to-Book ratio** of 0.98 shows that the stock is trading almost exactly at the value of its net assets. This typically happens in companies that are restructuring, where the market isn't confident about future returns.

Under Armour's level of EPS diluted followed the decreasing trend of the past years going negative in 2025 (around -0,21). Currently, Under Armour has a credit rating of score B, which has been a consequence of the company trading down from the industry average for more than 12 months.

Environment and Recommendations

The forecasting for 2026 are marked with persistent regional weaknesses; North America faces tariff-related cost pressures, APAC and Latin America battle weak demand and pricing headwinds but likely EMEA has supported over all brand stability.

However, it's important to contextualize all the financial results considering both the internal factors (management and financial decisions) and the external factors (environment and competitors).

Getting more into the details of the internal situation, Under Armour has fully exited the fitness technology business after costly but unsuccessful acquisitions, for example in 2020 it sold *MyFitnessPal* for less than its purchase price and it shut down *Endomondo*. From 2024, Under Armour started turnaround plans to stop the decreasing tendency, but it never quite got back to the boom and double-digit boom it experienced in the 2010s. At the moment, it is on a back-to-basics strategy, with minor improvements; the focus is on premium story-telling and brand focus, while, at the same time, cutting down unprofitable product lines and inventory and reducing discounts.

Another damaging event has been the end of one of the most significant partnerships with Steph Curry which could be seen as a concern, since only in 2023 he signed "lifetime contract".

About the external environment, later in the report it will be presented the comparison with the competitors. For now, it is fair to say that Under Armour is still a much smaller player than its larger peers in the market.

About recommendations, it is clear that the turnaround is far from complete. The company is not broken, but without clear growth drivers and a downward trend within its largest market, North America, the outlook looks challenging. A clever recommendation would be to "wait-and-see" so to keep as priority rebuilding the brand's strength and enforcing pricing discipline. The attention has to be on the restructuring plan to gain confidence in the business again and, hopefully the growth will return.